Telco Customer Churn — From Insight to Roadmap

Translating diagnostic findings into a prioritized product roadmap with measurable outcomes

This document extends the original Telco Customer Churn analysis by translating the diagnostic findings into Product Manager territory: structured initiatives, RICE-based prioritization, a sequenced roadmap, and explicit decisions on what not to do first. The diagnostic work is summarized briefly for context — the full dashboard and analysis are in the original case study.

RECAP — KEY FINDINGS FROM THE ORIGINAL ANALYSIS

Finding	Scale	What it means
Month-to-month churn = 42.71% vs 2.83% on 2-year contracts	15× gap	Contract structure is the mechanism through which every other churn driver becomes a cancellation
Fiber Optic churn at 40.72% on the highest-priced product ($92/mo avg)	2× DSL	Product-competitiveness problem, not a service problem
Competitor-driven churn (devices, offers, data, speed)	45% of churn	Cannot be solved with retention campaigns alone
First-year (0-12 month) churn cohort	47% rate	The platform is not establishing value in the critical early window
Senior citizen churn at 41.68% vs 23.61% non-seniors	~2× rate	Highest-risk demographic, vulnerable to competitor outreach
Investigate San Diego as a priority market for localised competitor or service quality issues	>2x next city	$152K in lost monthly revenue from one city — more than double the next city — points to a specific local competitor, coverage gap, or service failure that a national intervention will not surface or solve

The above findings point to three main problems the business is facing. That is, a competitiveness problem(Fiber high churn rates, top churn reasons), commitment problem(contract too flexible, low customer tenure) and demographics problem (Senior Citizens churn rates)

SECTION 1 · FROM FINDINGS TO INITIATIVES

The five findings cluster into three underlying problems — competitiveness, commitment, and demographics. Each problem becomes an initiative with a defined problem statement, target KPI, and effort estimate. Where two findings share the same root cause, they fold into one initiative rather than being treated as separate work.

Competitiveness

INIT-01	Competitive Response Programme
Problem	45% of all customer churns were competitor related, offering a better product, service, and more data, which tracks with the fact that Fiber connections, our most premium offering, have 40.72% churn rate.
Target KPI	Reduce Fiber Optic churn rate from 40.72% to ≤ 35% within 12 months Reduce competitor-cited churn from 45% to ≤ 38% of total churn within 12 months
Effort estimate	Discovery phase first (see below), followed by pricing review and possible product/network upgrade based on findings. Cross-functional with Pricing, Product, Engineering. Roughly 2-3 quarters end to end. **Discovery methodology** • **Competitive benchmarking** — speed and pricing comparison vs competitors in target markets • **Win/loss interviews** — recently-churned Fiber customers, to surface real decision-making beyond survey reasons • **Cohort analysis** — performance differences between churned and retained Fiber customers

Commitment

INIT-02	Long-term contract incentivization
Problem	42.71% month-to-month churn versus 2.83% on two-year contracts is a 15x difference. The high <12-month tenure cohort is a downstream symptom of the same problem: the absence of contract commitment is the largest single churn driver — and the one most under our control.

Target KPI	Reduce overall churn rate by 2-4 percentage points within 12 months. Mechanism: shift M-t-M customers toward annual contracts via incentive redesign. Specific migration targets to be set in discovery once full M-t-M base sizing is available.
Effort estimate	Medium effort. Marketing-led campaign with front-loaded discounts for 1- and 2-year contracts, executed via CRM segmentation and outreach. Low engineering overhead. Roughly 2 quarters from design to measurable cohort impact.

Demographics

INIT-03	Senior Citizen Retention
Problem	Senior citizens churn at 41.68% versus 23.61% for non-seniors — nearly double. The drivers are distinct from the broader commitment problem: lower digital self-service capability, higher reliance on support quality, and disproportionate vulnerability to competitor device offers and direct outreach.
Target KPI	Reduce senior citizen churn rate by 6-8 percentage points within 12 months through dedicated outreach, device upgrade offers, and a specialized support track.
Effort estimate	Effort: Low-to-medium. Customer Success-led with marketing support. Operational changes (dedicated support routing, proactive outreach campaigns, targeted device offers) rather than product builds. Low engineering overhead. Roughly 2-3 quarters.

SECTION 2 · RICE PRIORITIZATION

RICE scores quantify the trade-off between value and cost. **Reach** = number of customers affected per quarter. **Impact** = scale of effect on churn (3 = massive, 2 = high, 1 = medium, 0.5 = low). **Confidence** = certainty in the estimates (% based on data strength). **Effort** = person-months. Score = (R × I × C) ÷ E.

Initiative	Reach (customers/qtr)	Impact (0.5–3)	Confidence	Effort (person-months)	RICE Score	Rank
INIT-01 Competitive Response Programme	~1,799	2.5	70%	5	629	**#2**
INIT-02 Long-term contract incentivization	~1,955	3	85%	4	1,246	**#1**

Initiative	Reach (customers/qtr)	Impact (0.5–3)	Confidence	Effort (person-months)	RICE Score	Rank
INIT-03 Senior Retention	~666	2	75%	3	**333**	**#3**

Reading the table

INIT-02 scores nearly 2× higher than the next initiative. This is not a marginal call — the structural impact (touching 1,955 customers at the highest impact rating) combined with relatively modest effort makes it the top priority. Confidence is high (85%) because the data signal is clear: a 15× churn rate gap is significant enough to not be ignored.

INIT-01 ranks second. Confidence is lower (70%) because we don't yet know whether the issue is actual speed/data gaps or perceived value. The effort is also higher because closing a real product gap requires engineering work.

INIT-03 ranks third because while the per-customer churn is severe, the segment is smaller in absolute terms — even a strong reduction moves the overall churn rate less than the other two initiatives. It also requires lower effort, so it can run in parallel with the priority work without competing for the same teams

Sequencing reflects RICE rank, dependency logic, and parallelizable work. Discovery activities run alongside execution to inform later quarters.

Quarter	Primary focus	Initiatives in flight	Expected outcome by end of quarter
Q1	Plan and design the migration programme. Run problem discovery for competitive response.	INIT-02 Contract Incentivization (planning & design). INIT-01 Competitive Response (problem discovery).	Migration programme designed — discount structure, target segment, messaging, CRM segmentation, margin model — ready for pilot launch. INIT-01 problem discovery complete — intervention shape (pricing, product, or marketing) confirmed.
Q2	Launch migration pilot. Design competitive intervention. Begin senior research.	INIT-02 (pilot launch). INIT-01 Competitive Response (launch). INIT-03 Senior Retention (customer research & operational design).	Migration pilot live with first M-t-M cohort. Competitive response live based on Q1 discovery findings. Migration pilot live with first M-t-M cohort. INIT-01 intervention designed and ready for Q3 launch. Senior research complete. Senior research complete — retention programme design in progress.
Q3	Scale migration. Launch competitive response. Complete senior design.	NIT-02 (full rollout). INIT-01 Competitive Response (launch). INIT-03 (programme design complete).	Migration scaled platform-wide. Competitive response live. First measurable churn signal from migration pilot cohort visible.
Q4	Launch senior retention. Continue measuring migration impact.	INIT-03 Senior Retention (launch). INIT-02 + INIT-01 cohort measurement.	Senior retention live. Migration impact at full-base scale measurable. Decision points reached on whether to iterate, expand, or close out each initiative for next year planning.

SECTION 4 · WHAT I WOULD NOT DO FIRST

Prioritization is as much about deliberate exclusion as inclusion. Three actions look obvious from the data but should not be the first move:

1. **Launch a San Diego-specific retention campaign as priority #1**

San Diego is the single biggest geographic loss center, which, at first glance, it would be one of the main points to tackle head on. However, when having a second, more critical, look, it is affected by the same underlying major drivers like contract flexibility and competitor device offers that are platform wide. It is wiser to work on addressing structural problems affecting most markets first. Otherwise, we'd be treating symptoms only. San Diego warrants discovery in the future, after most of the structural improvements are implemented to monitor if the issue still persists.

2. **Launch a broad cross-platform retention discount campaign**

26.54% overall churn rate looks like it needs a big retention play. Discounts are the obvious lever.

However, 45% of churn is specifically competitor-driven (better devices, offers, data, speeds). Broad discounts don't address any of those root causes. We'd be converting profitable customers into less-profitable ones without moving the churn rate. This is distinct from INIT-02's discounts, which are mainly tied to multi-year(1/2 year) commitments. Those should be looked at as a long-term investment, not a giveaway.

3. **Build new product features in response to competitor complaints before benchmarking**

Top churn reasons cite competitor speed and data. That does not mean to immediately ship higher-speed packages or larger data tiers. Oftentimes, reasons provided by customers offer a biased read on the situation.

We don't yet know whether the issue is actual speed gaps, perceived value, pricing, or marketing. Building before benchmarking risks shipping the wrong fix. Discovery is a prerequisite, not a parallel activity.

SECTION 5 · SUCCESS METRICS — QUARTERLY VIEW FOR THE PRIORITY INITIATIVE

For the priority initiative — Long-term Contract Incentivization — the following KPIs define success on a quarterly basis. Leading indicators (offer engagement, opt-in rate) are deliberately weighted more heavily in the early period because lagging indicators (actual churn rate change) take longer to register.

Metric	Q1 — Launch & Early Signal	Q2 — Adoption & Go/No-Go	Q3 — Scale & Outcome Signa	Q4 — Impact Measurement
Conversion Rate	Pilot cohort ≥ 12%	Full pilot ≥ 18–22%	Platform-wide rate tracking vs Q2 pilot	Cumulative conversions vs total eligible M-t-M base

Metric	Q1 — Launch & Early Signal	Q2 — Adoption & Go/No-Go	Q3 — Scale & Outcome Signa	Q4 — Impact Measurement
Regret Churn	Converted customers ≤ 5% voluntary cancellation	≤ 3% of full converted cohort	Converted vs unconverted M-t-M cohort comparison	—
Overall Churn Rate	—	—	Early directional movement visible	2–4 pp reduction vs pre-initiative baseline
	—	Scale if ≥ 18% and margin on track. Iterate if 10–17%. Pause if < 10% — pilot has failed to produce sufficient conversion volume for a meaningful signal; structural redesign required.	Flag if platform-wide conversion drops materially below Q2 pilot rate — indicates offer degrades at scale.	Close out, expand, or iterate for next planning cycle

SECTION 6 · RISKS & ASSUMPTIONS

Key Assumptions

Front-loaded discounts won't cannibalize existing annual contract revenue. The risk: customers already on annual contracts asking for the same incentive, or new joiners selecting annual at lower margin than they otherwise would. Pricing modelling must account for this.

Engineering capacity exists to support contract switching. "Low engineering overhead" assumes the billing system already handles contract type changes gracefully. Q1 planning phase confirms this before pilot launch in Q2.

Benchmarking on INIT-01 reveals an actionable intervention. If benchmarking shows we're at parity with competitors and win/loss interviews don't surface a clear product gap, INIT-01's intervention shape shifts toward marketing repositioning — significantly cheaper but lower confidence on impact. This is validated in Q1 before Q2 intervention design begins.

Closing thought — what this exercise demonstrates

Diagnosis is necessary but not sufficient. Plenty of dashboards identify problems. The harder skill is converting findings into structured initiatives, ranking them with discipline, sequencing them around real constraints, and being explicit about what *not* to do. This extension demonstrates that transition — taking the same data work and applying a Product Manager's lens to it. The original case study answers *what is happening and why*. This extension answers *what we do about it, in what order, and how we know it's working*.